

Chapter Four

4. Product Concept

Product

- In marketing, a **product** is anything that can be offered to a market to satisfy a need or want.
- Product is anything that can be offered to a market for attention, acquisition, use or consumption
- People satisfy their needs and wants with marketing offerings.
- Product is a problem solver , what we sell should match with what customers want.
- It can be the combination of **10** basic entities that marketers offer to the market like goods, services, experiences, events, persons, places, properties, organizations, information, and ideas.

- Goods:- are commodities, or tangible items that satisfies some human needs and want.

- Services:- are intangible Things of value that satisfies human needs and wants .



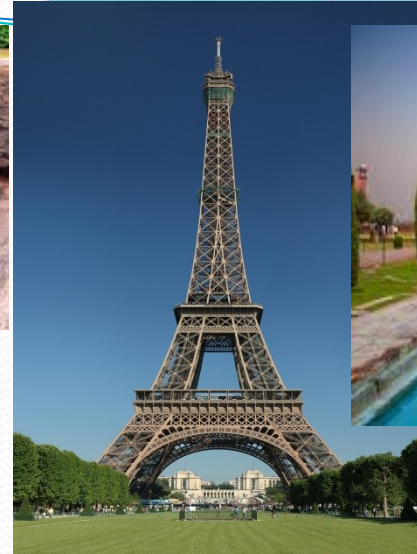
- Experience:- by organizing several services and goods, one can create, stage, and market experiences.



Persons :- Due to a rise in testimonial advertising, celebrity, marketing has become a business.



- Places:- Cities, states, regions, and countries compete to attract tourists.



- Properties:- can be categorized as real properties or financial properties. Real property is the ownership of real estates, whereas financial property relates to stocks and bonds.

A photograph of a stock market board displaying various financial data, including stock prices and percentages, with green and red arrows indicating market movements.

5.984,00	8.864,00	+	48.13%	6.796,00	6.796,00
793,00	1.282,00	+	61.26%	6.401,00	6.401,00
5.091,00	4.920,00	-	3.36%	6.240,00	6.240,00
139,00	129,00	-	7.36%	7.061,00	7.061,00
5.336,00	6.582,00	+	18.67%	7.121,00	7.121,00
	5.642,00			7.121,00	7.121,00

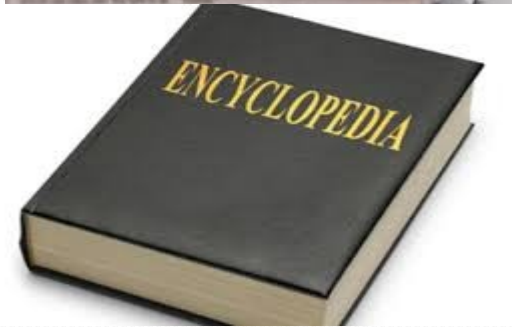
- Events:- can be trade shows, company anniversaries, entertainment award shows, sporting events, health camps, and so on.



- Organizations:- actively work to build image in the minds of their target public.



- **Information:-** can be produced and marketed as a product. Educational institutions, encyclopedias, non-fiction books, specialized magazines and newspapers market information.



- **Idea:-** Every market offering has a basic idea at its core.



4.4 Product Planning and Development Process

- Once ideas emerge from idea sources or creative problem solving, they need further development and refinement into the final product or service to be offered.
- This refining process – the product planning and development process – is divided into five major stages

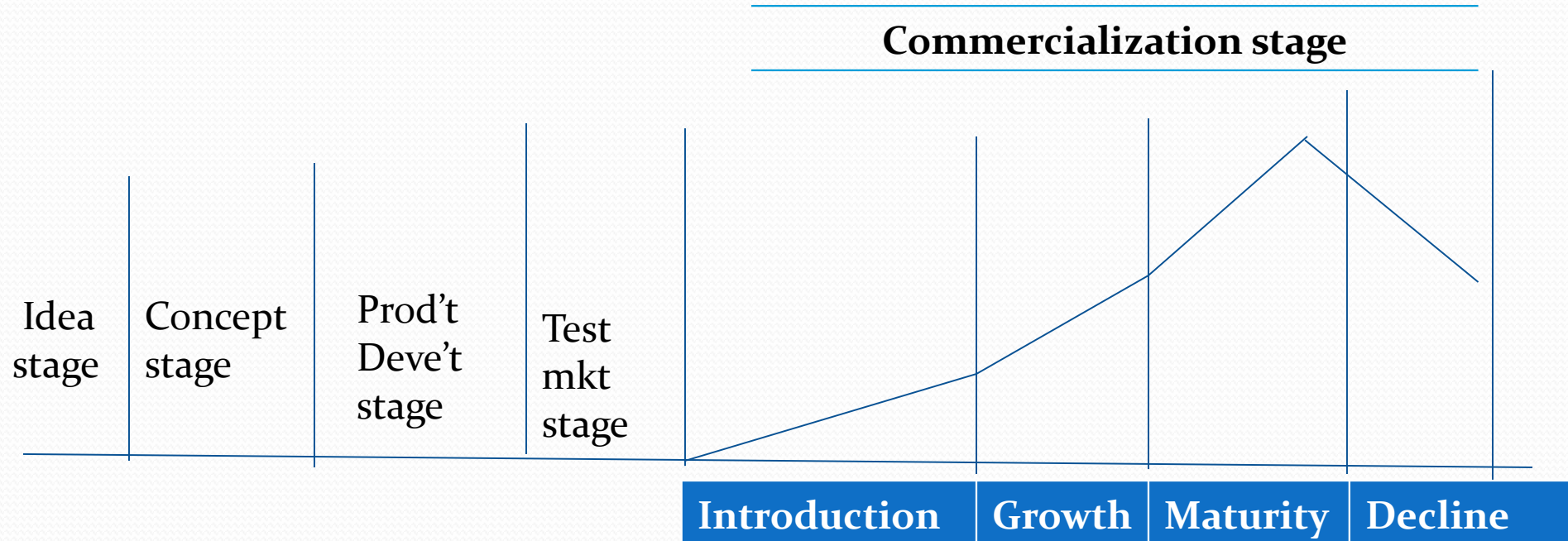


Fig 4.1 Product planning and development process

- One of the challenges the beginner entrepreneur will face as he/she goes into business understands the regulatory environment laws and regulations.
- Following are the key legal issues for the entrepreneur.

Intellectual Property (IP)

- ❖ Intellectual property is a legal definition of ideas, inventions, artistic works and other commercially viable products created out of one's own mental processes.

- Intellectual **property is protected** by such legal means **as patents, copyrights, and trademark registrations.**
- In order to enjoy the benefits arising from the exclusive ownership of these properties, the **entrepreneur needs to protect these assets by the relevant law.**
- Some entrepreneurs ignore important steps that should be taken to protect their intellectual properties.

1. Patent

- A patent is a grant of a property right by the government **to an inventor**
- Patents are **exclusive property rights** that can be **sold, transferred, willed, licensed, or used as collateral.**
- Most independent investors **do not commercialize their inventions** instead, they **sell or license their patents to others** who have the resources to develop products.

2. Copyright

- A copyright is that the intellectual property is protected for **the life of the originator plus 50 years.**
- This protection affords an **extraordinary property right** and **a substantial estate.**
- Among the things that need to be protected through copyrights are:
 - ✓ **Music, books, software, scripts, articles, poems, sculptures, models, maps, and blueprints.**

Cont'd

- If that property cannot be patented, the copyright only prevents duplicating or using the original material.
- In Ethiopia, the revised copyright law was enacted in July 2004.
- The law severely punishes those who infringe others' copyright, whether intentionally or with negligence, with imprisonment of up to 10 years and material and moral compensation of Birr 100,000 minimum.

3. Trademarks

- A trade mark includes any word, name, symbol, or distinguishing device.
- A trade mark is granted through the U.S Patent and Trade Mark office for a period of 20 years.
- It needs the necessary renewal.

THANKS

